

# DECODED EXPLAINED

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# Does Inflation Targeting Work in India?

## Does inflation targeting work in India?

India's Phillips curve is found to be flat, while households' inflation expectations remain consistently higher than the RBI's projections, this suggests that inflation targeting can lower output and employment without a commensurate reduction in inflation.

### ECONOMIC NOTES

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India has just completed a decade of inflation targeting (IT) as its real policy framework of the Reserve Bank of India (RBI). Under this framework, the RBI is supposed to contain inflation at 4%, within a band of  $(\pm) 2$  percentage points. In this piece, we explain the theory behind inflation targeting and test it against the Indian experience.

#### Managing demands

The RBI seeks to control inflation through two channels: controlling demand and influencing the public's inflationary expectation. The RBI fixes its policy rate of interest (called the repo rate), which is increased when inflation ticks up. This pushes commercial banks' lending rates

up. Households become wary of taking home or consumer loans, while businesses postpone decisions to build factories. Demand comes down and, as a result, so does inflation.

The second route works through anchoring the inflationary expectations of the public at large. The assumption is that high expectations about inflation (behavioral inflation) today become capitulation build these expectations into their current pricing decisions and workmen raise their wage demands. Inflation is a self-fuelling prophecy. So, if the RBI can somehow further these expectations to its projected path of inflation, it can contain the further rise. Both these routes work through a relationship called the New Keynesian Phillips curve (NKPC).

This curve describes a relationship between the level of GDP and inflation in an economy. It is proposed that a rise in output leads to an increase in inflation. Prices are a markup over costs. For simplicity, let us assume wages are the only costs in an economy. Workers demand wages; capitalists add a profit margin to determine prices. If wages rise, prices follow suit. But why should wages

rise with output? The wage-price negotiation process provides the key to understanding the NKPC. Consider a worker who would like to buy 5 kg of rice during a month for her family. Since she will not receive a sack of rice as her wage, she will have to settle for a money wage with which she can buy that amount of rice.

The time difference between fluctuations in money wages and the purchase of rice makes expectations a key factor in the process. For example, if she expects the price of 5 kg of rice at the time of purchase to be ₹200, she would negotiate for ₹200 as wages to buy those 5 kg. But if she expects the price to be ₹200, she would ask for ₹1000 as wages to buy those 5 kg. But if she expects the price to be ₹1000, she would ask for ₹5000 as wages to buy those 5 kg. But if she expects the price to be ₹5000, she would ask for ₹25000 as wages to buy those 5 kg. As wages go up, the same bundle of wage goods, as would prices.

As it is not only output but also the demand for money wages that determines the price of money wages, this framework argues, makes workers stronger and enables them to demand more rice – say from 5 kg to 6 kg – for the same number of hours of their work. Thus, the wage demand curve rises with output (see panel (a) of Graph 1). Since prices rise with output (but a markup over costs), the price curve (NKPC) has the same upward-sloping shape. On top of that, if the price expectations for rice were to change from ₹200 to ₹250, the wage demand curve, and the corresponding NKPC, would shift up by the very level of

### Off the mark

Ten years into inflation targeting, the Indian experience raises questions about its underlying assumptions.

Graph 1: The New Keynesian Phillips Curve (NKPC)

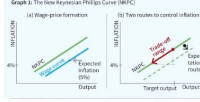


Chart 1: Testing the Phillips curve in India

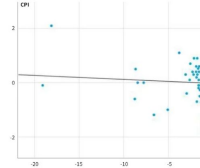
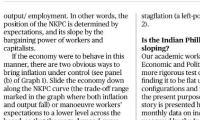


Chart 2(a) Household inflation expectations versus RBI projections



Chart 2(b) Household inflation expectations and actual CPI inflation



stagnation is left pointed arrow in Graph 2).

#### Is the Indian Phillips curve upward sloping?

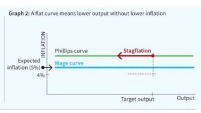
Our academic work, published in the Economic and Political Weekly, provides a more rigorous test of the Phillips curve, leading to the flat result under multiple configurations and methodologies. For the present purposes, a 'flat' test of that story is presented here. Chart 1 uses monthly data on industrial output, as measured by the Index of Industrial Production (IIP), and CPI inflation between April 2012 and March 2020. The best fit (red line in Chart 1) shows India's NKPC is, at best, flat.

But why is there such a gap between reality and mainstream economic theory? One reason is the basic premise of the Indian wage demand curve, and consequently NKPC, as shown in Graph 1, is incorrect. For economies such as ours, an overwhelming majority of workers (around 92%) do not have any bargaining power, let alone wage talks. They are simply price takers. Wages do not rise with output/employment.

Projections and expectations Even if the Phillips curve is flat, IT

### THE GIST

Inflation targeting works through higher interest rates to curb demand and through anchoring people's expectations of future inflation.



1. The x-axis is the output gap, measured as the deviation of output from the trend level (Y). They are the two differences of CMC inflation (see 2012). 2. Over recent years, variables like output gap, are much more volatile than inflation. This is because of the correlation underlying a time series, one over price level relationship between two variables, which is actually spurious. 3. Inflation based needs to be removed from the model. The conclusion about the relationship between these variables, a process which is called making data stationary. Any other, subtracting the previous year's value from the current year eliminates the time trend.

The inflation targeting framework relies on two key assumptions: that higher output and employment strengthen workers' bargaining power, pushing up wages and prices, and that the assumption does not hold well in India, where most workers have little bargaining power.

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What does the Indian data tell us? The RBI surveys Indian households about their inflation expectations a quarter and a half year ahead. These expectations are plotted over this period against the RBI's own projections. Chart 2(a) shows that expectations are consistently higher than the projections, that too, on average, by a margin of four percentage points. Even when expectations are plotted against actual inflation, the gap is similar (see Chart 2(b)). So, the expectations story is not what is claimed to defend IT.

John Maynard Keynes would have said that the RBI. When Keynes says 'change my mind. What do you do so?' I understand, the RBI does not open as it tries to force fit a macroeconomic model to a world where the underlying assumption of the model do not hold. In the process, it inflicts pain on all common people of this country by forcing them out of employment without any commensurate gain to controlling inflation.

The authors are a part of the Centre for Development Macroeconomics network, which only flourish in Economics.

# Concept

**RBI tries to control inflation by two methods**

**RBI increases the repo rate.**

Repo rate  $\uparrow \rightarrow$  Banks' borrowing costs  $\uparrow \rightarrow$  Banks increase loan interest rates  $\rightarrow$  People and businesses borrow less  $\rightarrow$  Consumption + investment  $\downarrow \rightarrow$  Demand  $\rightarrow$  Inflationary pressure  $\downarrow$

**RBI also tries to influence people's inflation expectations.**

**Inflation expectation: What people think prices will be in the future.**

**Eg: "Prices are going to rise by 10% next year."**

**A worker may say: "I need a higher salary because everything is going to become expensive."**

**A business may say: "Our costs will rise, so let's increase our prices."**

**A consumer may say: "Let me buy things now before they become more expensive."**

**So expectations about future inflation can actually influence present inflation.**

# Concept

**It explains how are inflation, wages and economic output connected ?**

**Wages and Inflation : Expected price  $\uparrow \rightarrow$  Expected expenditure  $\uparrow \rightarrow$  Desired money wage  $\uparrow$**

**Economic Output and Wages and Inflation : Output  $\uparrow \rightarrow$  Employment  $\uparrow \rightarrow$  Workers' bargaining power  $\uparrow \rightarrow$**

**Wage demands  $\uparrow \rightarrow$  Production costs  $\uparrow \rightarrow$  Prices  $\uparrow \rightarrow$  Inflation  $\uparrow$**

# Are Nicotine Pouches Beyond the Law?

## Are nicotine pouches beyond the law?

Does COTPA cover nicotine pouches? Why are they not covered by the law banning vapes? Could nicotine pouches be treated as food under Indian law? Can they be legally imported into India? Can nicotine pouches be sold at duty-free shops?

### EXPLAINER

Murali Neelakantan

#### The story so far:

A new study led by the ICMR-National Institute of Cancer Prevention and Research has found that nicotine pouches are reaching Indian cities through online platforms, hookah shops and gig delivery services. The study comes after a warning from the World Health Organization in May 2026 about the dangers these products pose. Yet it is far from settled which Indian law, if any, governs them.

#### What are nicotine pouches?

A nicotine pouch is a small, tobacco-free, tea-bag-like sack containing nicotine, flavourings and plant-based fibres. Users place the pouch between the lip and gum for up to an hour, allowing nicotine to be absorbed directly into the bloodstream without smoke, vapour or spitting.

#### Does COTPA cover nicotine pouches?

The Cigarettes and Other Tobacco Products Act, 2003 (COTPA) governs the marketing, advertising and sale of cigarettes and other tobacco products. But its definition of tobacco products does not extend to all products containing nicotine. Had the legislature intended to cover every extract of the tobacco plant, it could have said so. Restrictions on the freedom of trade and commerce must be strictly construed and since nicotine pouches are not among the products listed in the Cigarettes Act, they fall outside it.

#### Are they regulated by the Drugs Act?

Nicotine is not listed as a drug in any schedule of the Drugs and Cosmetics Act, 1940. Nicotine patches and gums have, however, been approved as drugs by the Drug Controller General of India for therapeutic use in treating nicotine addiction. Schedule K under the Drugs and Cosmetics Rules, 1945 lists gums, lozenges and exempts them from licensing and prescription requirements if they contain less than 2 mg of nicotine.

If nicotine were not considered a drug



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at all, there would be no reason to exempt certain nicotine products in Schedule K. The very fact that only some nicotine products are exempted suggests that all others are meant to be regulated by the Drugs Act.

Against this, pouches are arguably unlike patches and gums. They make no therapeutic claim and do not purport to treat addiction; they are a substitute for cigarettes. On this reading, they do not qualify as drugs under the Drugs Act.

#### Why are they not covered by the law banning vapes?

The import and sale of vapes is banned by the Prohibition of Electronic Cigarettes Act, 2019 ("PECA"). If vapes were drugs, no separate legislation would have been needed: the government could have regulated them, or refused licences, under the Drugs Act. The enactment of PECA therefore suggests that the Drugs Act did not give it adequate power to ban them. Nicotine pouches are different from vapes: they contain no electronic device and produce neither smoke nor vapour. They are consequently not covered by PECA.

#### Could pouches be treated as food?

The Prevention of Food Adulteration Act and the Food Safety and Standards Act define food broadly: any processed, partially processed or unprocessed substance intended for human consumption. Court rulings on supari and chewing tobacco establish that the

definition has a very wide amplitude, encompassing items that are chewed rather than swallowed. It is arguable, then, that nicotine pouches could fall within the broad definition of food.

#### Can pouches be imported into India?

Import restrictions flow from two statutes: the Foreign Trade (Development and Regulation) Act, 1992 and the Customs Act, 1962. The Foreign Trade Act empowers the Central government to prohibit, restrict or regulate imports; the Directorate General of Foreign Trade (DGFT) administers this and publishes the ITC-HS classification listing which goods are free, restricted or banned. Section 11 of the Customs Act allows the government to prohibit goods wholly or partly by notification, on grounds that include the protection of human, animal or plant life.

After the World Customs Organization updated the Harmonized System, a sub-category was introduced for oral nicotine products that do not involve combustion: 2404 91 30 covers tobacco-free single-use pouches of the Zyn or Lyft type, and 2404 91 90 covers other oral nicotine products not meant for therapeutic uses. These replaced a residual category for other manufactured tobacco substitutes; the codes for medicaments apply only where a product is strictly a cessation aid. Under the DGFT schedule and the rules of the Central Board of Indirect Taxes and Customs, goods under 2404 91 30 are "restricted".

Unlike "free" items, they cannot be cleared merely on payment of duty, and unlike "prohibited" e-cigarettes, they are not banned outright – but they require a specific licence or permission. In deciding, the DGFT cross-references the health and other ministries.

#### What about duty-free shops?

Nicotine pouches are currently available at a few duty-free stores at Indian airports. Such stores are licensed under Section 58 of the Customs Act and cannot claim to be entirely outside Indian law.

It is sometimes said that a duty-free shop lies outside the territory of India, and that it is the passenger who imports the goods on crossing customs control. In *Fleming Duty Free Shop Pvt. Ltd. v. Shri Kaushik Bhattacharya* (2024), the Calcutta High Court held that a duty-free store did not "import" goods into India, being deemed to be located outside it for the purposes of the Customs Act, and that legal metrology labelling requirements therefore did not apply. This should not be read to mean no Indian law applies to duty-free shops. If no Indian law applied to stores, could they stock arms and ammunition? If a crime was committed in a duty-free store, which court would have jurisdiction to try the case? Which police station would have jurisdiction to register a case? That would be just too absurd.

Cigarettes, alcohol, jewellery, watches, food and small electronic items are some of the goods permitted at duty-free shops. Nicotine pouches are not – unless one can argue they are food. Given their customs classification as restricted, it is unlikely that any import licence has been granted.

#### What is the legal position?

The legal position is intricate, but the remedy is not. A notification under the Customs Act and the Foreign Trade Act banning the import and sale of nicotine pouches on health grounds would take minutes to issue. If the government moves as slowly as it did with vapes, pouches will become fashionable, and demand will continue to rise. A ban notified after that point will only produce smuggling on the scale we now see with vapes and cause damage to health that will be hard to mitigate.

(Murali Neelakantan is a lawyer)

### THE GIST

▼ Nicotine pouches are not covered by COTPA or PECA, while their status under the Drugs Act is debatable. They could also arguably fall within the broad definition of food

▼ Tobacco-free, single-use nicotine pouches require a specific licence or permission under the DGFT's ITC-HS classification; they are not prohibited outright like e-cigarettes

▼ The government can prohibit their import and sale on health grounds. Delaying action could lead to established demand and smuggling, as seen with vapes

# Concept

**Tobacco is the most widely recognised preventable cause of disease and death in the world.**

**India has the world's second-highest (after China) number of tobacco consumers, with nearly 26 crore people.**

**WHO Framework Convention on Tobacco Control (FCTC):**

**India is one of the 182 signatories of this Convention, which signifies its commitment to global tobacco control efforts.**

**It aims to reduce tobacco usage worldwide by helping countries develop demand and supply reduction strategies and effective national tobacco control policies.**

**Cigarettes and Other Tobacco Products (Prohibition of Advertisement and Regulation of Trade and Commerce, Production, Supply, and Distribution) Act (COTPA) 2003: It governs different aspects of tobacco, such as production and supply, advertising and promotion, distribution and sale, as well as packaging and labeling.**

**mCessation Programme: Initiative for tobacco cessation by mobile technology.**

**The Prohibition of Electronic Cigarette Act (PECA), 2019: It has banned e-cigarettes in India.**

**India taxes tobacco heavily, with cigarettes at 53% of retail price. Bidis, a cheaper option, are taxed much lower at 16%.**

# Basics

## Issues

**Soil Depletion:** Tobacco rapidly depletes soil nutrients, requiring more fertilisers which further harm soil quality.

**Deforestation:** Tobacco production contributes to deforestation, requiring significant wood for processing. Up to 5.4 kg of wood is required to process 1 kg of tobacco.

**Waste Generation:** Production and consumption of tobacco creates a massive waste burden (1.7 lakh tonnes annually in India).

**Economic Burden:** Tobacco use leads to immense healthcare costs (estimated Rs.1.7 lakh crore loss in India, 2017-18) exceeding the national health budget (Rs 48,000 crore).

**Over 6 million people working in the tobacco industry are at risk due to tobacco absorption through the skin, leading to potential health issues.**

**Waste Management Cost:** Cleaning up tobacco waste is a significant additional cost (estimated Rs.6,367 crore annually in India).

# Ground Control: ISRO's Long-Term Direction

## Ground control

ISRO must focus on space technology as a tool for development

The irony was evident: on the day the Indian Space Research Organisation (ISRO) had its greatest success of the year – the launch of its first geosynchronous imaging satellite (EOS-05) on a temperamental GSLV – its employee organisations demanded clarity on its long-term plans. But this grievance was long in the making. Since the Indian Space Policy of April 2023, the message has been clear that ISRO would, one day in the unspecified future, stop making commercial satellites and launch rockets. Clearly inspired by NASA, it expects to focus on ambitious exploratory missions and, literally, moonshots. Why would a space agency ramping up space missions upset a section of employees? This is not the paradox it presents. The letter, co-signed by nine employee associations, and addressed to the chairman, seeks clarity on staff strength, recruitment and the outsourcing of core functions. ISRO says that it will “not be privatised or reduced”; IN-SPACE, set up to facilitate private participation, says the agency will “not be diminished”, only that the industry’s role must grow. Both are silent on the core concern – potential job losses. This brings up an underlying tension that ISRO must deal with: does its vision of India’s space sector align with its founding principles, of not being enamoured of space races and being laser-focused on space technology as a tool for social development? Or is the image of power, where India is one of a handful of space-faring countries with a mushrooming of ‘space startups’, now the bedrock of that vision?

With a budget 16 times the Department of Space’s – \$24.4 billion against ₹13,705 crore – NASA too has scaled back since the 1960s: from 0.7% of American GDP in 1966 to 0.1% now, and from 36,000 civil servants at Apollo’s peak to about 14,000 today. Unlike NASA, which in its early years designed and made every nut and bolt, ISRO has always had a manufacturing relationship with the private sector (Walchandnagar, L&T). What is different is that the buzz is not about established companies building on experience but new entrants with fleeting foreign capital, most interested in satellite data as a service. No sector can hope to be static; survival can mean significant changes to how it operates. There is yet no serious reckoning with the might of China’s space programme. If India’s space sector in 2035 is to be known as a source of export earnings, a nucleus of value-added services that brings in jobs and absorbs skilled labour, then hard choices taken today may be worth it. But jumping onto a bandwagon of space – as fuel for the science fiction fantasy of billionaires and colonial notions of conquest, to align with some misplaced notion of an ‘exclusive’ club – is foolhardy. ISRO must have a transparent policy that spells this out.

# Concept

On the day ISRO had its biggest success of the year launching its first geosynchronous imaging satellite (EOS-05) on a GSLV, nine ISRO employee associations wrote to the chairman seeking clarity on staff strength, recruitment and outsourcing of core functions.

● **The policy backdrop:** The Indian Space Policy of April 2023 signals that ISRO will, eventually, stop making commercial satellites and launch rockets, refocusing instead on ambitious exploratory missions and moonshots : a NASA-inspired model.

● **The unanswered question:** ISRO says it will “not be privatised or reduced”; IN-SPACe says the agency will “not be diminished,” only that industry's role must grow — both are silent on the core worker concern: potential job losses.

● **The underlying tension:** Does ISRO's vision align with its founding principle of space technology as a tool for social development, or has the image of power, India among a handful of space-faring nations with a mushrooming of ‘space startups’ — become the new bedrock?

● **Budget context:** NASA's budget (\$24.4 billion) is about 16 times the Department of Space's (₹13,705 crore); even NASA has scaled back from 0.7% of US GDP in 1966 to 0.1% now, and from 36,000 Apollo-era civil servants to about 14,000 today.

● **India's different starting point:** Unlike early NASA, which made every component in-house, ISRO has always had a manufacturing relationship with the private sector (Walchandnagar, L&T); what's new is the buzz around new entrants with fleeting foreign capital chasing satellite-data services.

● **The larger stakes:** There is no serious reckoning yet with China's space programme; if India's space sector by 2035 is to be a genuine source of export earnings and skilled jobs, hard choices today may be worth it but chasing prestige for its own sake would be foolhardy.

● **The ask:** ISRO must put out a transparent policy that clearly spells out staffing, recruitment and outsourcing plans, rather than leaving employees to read between the lines.

# Defence Acquisition Proposals Worth ₹1.10 Lakh Crore Cleared

## Defence acquisition proposals worth ₹1.10 lakh crore cleared

**Saurabh Trivedi**

NEW DELHI

The Defence Acquisition Council (DAC), chaired by Defence Minister Rajnath Singh, on Monday accorded Acceptance of Necessity (AoN) for a range of acquisition proposals for the armed forces estimated at ₹1.10 lakh crore, with approximately 98% of the procurements planned to be from Indian industry.

According to the Defence Ministry, for the Army, the DAC approved the procurement of chemical, biological, radiological and nuclear (CBRN) reconnaissance vehicles, high mobility vehicles (HMs), self-propelled mechanical mine layers (MMLs), advanced light helicopters (ALHs), trawl tanks and the Sarvatra Bridge System.

The trawl tanks and the Sarvatra Bridge System will



Rajnath Singh

provide composite cross-ing capability to fighting formations during operations in varied terrains.

### Domestic boost

For the Navy, the DAC granted AoN for the procurement of Arudhra radars and the design, development and subsequent procurement of marine gas turbines (MGTs).

The Arudhra radars will replace existing air route surveillance radars at va-

rious naval air stations. Indigenous development of MGTs, which are crucial for warship propulsion, is expected to reduce dependence on foreign vendors.

For the Air Force, the Council approved several proposals aimed at enhancing the war-fighting capabilities of its fighters, transport aircraft and helicopters.

The DAC also cleared the procurement of ground-based multi-purpose jammers (GBMPJ), which will provide effective jamming capability against radars. Approval was also accorded for the installation of the Defence Forces Secure Access Card (DEFSAC) system, which will replace existing paper-based identity cards, passes and permits with interoperable radio frequency identification (RFID)-based smart cards.

## Concept

**It is the highest decision-making body of the Defence Ministry on procurement.**

**The main objective of the DAC is to ensure expeditious procurement of the approved requirements of the armed forces in terms of capabilities sought and time frame prescribed by optimally utilizing the allocated budgetary resources.**

**Formation: It was formed after the Group of Minister's recommendations on 'Reforming the National Security System', in 2001, post-Kargil War (1999).**

**The defence minister is the chairman of DAC.**

**Its members include Chief of Defence Staff (CDS) and chiefs of Army, Navy and Air Force.**